

for that matter, and stick with it. And if they're all moving down, diversification clearly hasn't helped.

The secret to successful diversification is an old axiom: Opposites attract. In investment terms, that means you want to diversify into sectors of the global and local economy that do not share the same up and down influences. For example, if you invest in both the financial services sector and the consumer products sector, you hope that when one is faltering, the other is not. Or if you further diversify into oil and gas and other resource industries, then ideally, if the first two sectors suffer, the third will prosper. The way to quantify this parallel movement is by using something statisticians label a correlation coefficient, which can range from negative 100% up to positive 100%. The language can be a bit technical, but the concept is simple, so let me explain how the correlation coefficient works, and why it is so fundamental to the investment process and diversification issues.

An Example

To make these concepts a bit more concrete, here's an example that illustrates the effect of diversification and the trade-off involved. Consider three hypothetical mutual funds where one fund exactly tracks or mirrors the performance of the stock market as proxied by the SP500 index, one fund tracks a U.S. diversified Bond Index, and the third fund invests entirely in one-year Treasury Bills (T-Bills). Figure 3.1 graphs the value of an initial \$1,000 invested and held in each of the three funds from January 1999 to December 2006, a period that brought a significant stock market downturn at its midpoint.

The initial \$1,000 invested in the SP500 Index fund in January 1999 is worth \$1,131 in December 2006. Similarly the initial \$1,000 investments in the U.S. Aggregate Bond Index fund and T-Bills on January 2000 are worth \$1,473 and \$1,255, respectively, on December 2006.

While 1999 brought a very favorable return of 21.04% for the SP500, it was also followed by a three-year bear market. Although historically the return from stocks has followed a positive trend in the long-term, by the end of this volatile six-year period, the fund tracking the SP500 lost the race and ended with the lowest balance. With